

On the Role of Foreign Directors: New Insights from Cross-Listed Firms

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Abstract

This study examines the impact and effectiveness of U.S. independent directors on the board of cross-listed foreign firms. About 55 percent of foreign firms appoint U.S. independent directors before they cross-list in the U.S. market. We find that cross-listed firms with U.S. directors gain a higher increase in value through cross-listing than do firms without U.S. directors. The impact of U.S. directors is stronger for firms from weak investor protection countries, consistent with the idea that U.S. directors are effective monitors. We also find that foreign firms with U.S. directors are better acquirers in both domestic and cross-border M&As.

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This study examines the impact and effectiveness of U.S. independent directors on the board of cross-listed foreign firms. About 55% of foreign firms appoint U.S. independent directors before they come to U.S. market and we find that these firms with U.S. directors are able to gain higher increase in value through cross-listing than firms without. The impact of U.S. directors on value is strongest for firms from weak investor protection countries, consistent with the idea that U.S. directors are effective monitors. We also find that foreign firms with U.S. directors are better acquirers in both domestic and cross-border M&As.

I. Introduction

A growing number of recent studies on the efficacy of monitoring and governance by the board of directors focus on the role of foreign independent directors (FIDs) on corporate boards as firms expand globally. Masulis, Wang, and Xie (2012) document that 13 percent of large U.S. corporations have foreign directors. As the authors note, however, while FIDs can be effective as advisors due to their international experience and ability to develop foreign markets, their ability to monitor managers may be limited for a number of reasons including geographic distance, unfamiliarity with U.S. network, culture, and especially regulatory and accounting practices. Consistent with this notion, the authors find that while firms with FIDs make better acquisitions in countries where the FID comes from, these firms are more prone to intentional financial misreporting. In terms of the net effect, Masulis et al. (2012) report that the presence of FIDs is often associated with lower return on assets, and abnormal stock returns around appointment announcements of FIDs are significantly negative. In a similar vein, Naveen, Daniel, and McConnell (2013) report that appointment of foreign directors by U.S. MNCs elicit positive stock price reaction, but only when the foreign directors have experience in dissimilar businesses, which is suggestive of the advisory role of foreign directors.

In another recent study with a novel approach, Giannetti, Liao and Yu (2015) examine the effect of highly talented individuals with foreign experience on the performance of Chinese firms. Their analyses reveal that valuation and profitability of firms improve and propensity to manage earnings decreases after they recruit directors with foreign experience. The authors conclude that the benefits are attributable to the directors' foreign experience rather than their inherent abilities.

The contrasting evidence in these studies raise some interesting and unresolved issues that merit further investigation. First, much of the received evidence on the impact of this unique class of directors is limited to firms in the U.S., a country with a mature financial market and well-developed institutions, stringent regulatory and governance provisions, and a vast pool of competent leaders. As such, it is intuitive that the evidence in both Masulis et al. (2012) and Naveen et al. (2013) identify advising, rather than monitoring as the main contribution and role of foreign directors. Conversely, Giannetti et al.'s (2015), findings based solely only on China where managerial talent is scarce and governance mechanisms are still evolving, are suggestive that firms tend to match their needs in board oversight with where the director received the foreign experience. Specifically, directors with experience in countries with superior managerial practices are more common in Chinese firms seeking improvements in operational efficiency; whereas, firms that seek to enhance managerial discipline and monitoring prefer directors who gathered their experience in a country with superior governance. A perceptible gap in the literature is how the role and contribution of a FID depends on the differential institutional and regulatory environment in the appointing firm's home country. Specifically, to our knowledge, the role of FIDs in non-U.S. firms in a cross-country setting is largely unexplored. A second, and potentially more fundamental but related issue on which the evidence is at best mixed is the

relative importance of monitoring vis-a-vis advisory roles of directors with foreign experience, which, as Giannetti et al.'s (2015) findings reveal, can vary depending on the home country's regulatory and disclosure environment, and supply of managerial talent.

Our central objective is to investigate the role and contribution of foreign directors under differential levels of financial and regulatory development in the hiring firms' home country. We focus on the impact of a particular group of foreign directors - U.S. independent directors on the boards of cross-listed firms. We believe our approach offers some advantages. First, since cross-listed firms come from countries at various stages of development of the financial market and regulatory and disclosure requirement, we can examine the impact of these factors without significant variation in the cultural background and general business experience of foreign directors as all of them are drawn from the U.S. Anecdotal evidence suggests that cross-listed firms appoint U.S. directors primarily to help them establish in the U.S. capital market. However, unlike U.S. firms that tend to appoint foreign directors for advisory roles (Naveen et al. (2013)), cross-listed firms more often cite improved corporate governance, rather than advisement, as the main motivation for hiring U.S. directors. The benefits of improved governance by U.S. directors across varying levels of regulatory and institutional development in the cross-listed firms' country of origin makes for an interesting laboratory to investigate foreign directors' impact on international firms.

Second, our approach provides us the opportunity to relate the U.S. directors' impact on cross-listed firms' performance and value to the advisory or the monitoring role of foreign directors¹. As noted earlier, there is lack of consensus on the relative importance of a foreign director's role as an advisor or a monitor. On one hand, firms from countries with weak investor

¹ Board can perform both monitoring and advisory role simultaneously. See Brickley and Zimmerman (2010) , Adams and Ferreira (2007) , Harris and Raviv (2008) , Coles, Daniel, and Naveen (2014), Linck, Netter, and Yang (2008), and Lehn, Patro, and Zhao (2009) on theory and empirical evidences on the dual role of the board.

protection benefit as recruiting U.S. directors improves the monitoring and overall corporate governance of the firm, similar to Aggarwal, Erel, Ferreria, and Matos' (2011) finding of monitoring benefits of institutional investors from strong investor protection countries. On the other hand, Masulis, et al. (2012) and Naveen, Daniel, and McConnell (2013) suggest that foreign directors are more effective in the advisory role as they often face obstacles that render them less effective as monitors. As case in point, Masulis, et al. (2012) find that Korean companies struggle with low attendance rate of foreign outside directors. Our findings will shed new light on this important and unresolved issue.

One difficulty in analyzing U.S. directors' potential impact on cross-listed firms is that the monitoring benefits of these directors may not be discernible as cross-listed firms are already subject to the strict U.S. disclosure and investor protection regulations. Extant research suggests that the net effect of foreign directors depends on the interaction between internal governance mechanisms and the regulatory and disclosure requirement in the home country. For evidence, Bris and Cabolis (2008) and Dahya, Dimitrov, and McConnel (2008) argue that country and firm level corporate governance mechanisms are substitutes, and consistent with this notion, they find that the benefits of independent directors are not as discernible in countries with strong investor protection. Under this scenario, the presence of U.S. directors on cross-listed firms' boards is unlikely to induce incremental benefits for these firms. Conversely, if country (external) and firm level (internal) corporate governance mechanisms are complements, as in Aggarwal, Erel, Stulz, and Williamson (2009), the exposure to improved regulatory structure and disclosure rules of the U.S. market following cross-listing will augment the benefits of improved governance by U.S. directors. Clearly, the issue of the interaction between internal governance mechanisms and external regulatory provisions is a potential third advantage of our experimental design. Overall,

we explore the following questions: What is the relation between the presence of independent U.S. directors and cross-listed firms' value? Do U.S. directors augment the benefits that accrue to foreign firms from cross-listing? Does the impact of independent U.S. directors on foreign firms stem from their advisory role or monitoring role?

Our analyses are based on a sample of 298 cross-listed firms from 32 countries over the period 1996-2007. 165 of these 298 firms appointed at least one U.S. independent director during the sample period. We find that, on average, the presence of U.S. independent directors is associated with a significantly higher value for cross-listed firms. Measured by Tobin's Q, the value of cross-listed firms with U.S. directors is 32 percent higher than foreign firms without such directors. We conduct several robustness tests to control for potential endogeneity problems in our tests, including firm-fixed effects, 2-stage least squares (2SLS), and propensity score matching combined with difference-in-difference tests for firms that changed their U.S. director status during the study period. Our findings are robust to these additional tests.

We next examine the abnormal announcement period returns surrounding appointment of U.S. directors by cross-listed firms. After carefully filtering out confounding events, we identify 53 announcements U.S. director appointments by cross-listed firms with available stock price data. Consistent with the notion that U.S. directors bring net benefits to the firm, we find that the 3-day and 5-day cumulative abnormal returns surrounding the appointment announcements are positive and significant. Foreign firms from countries under civil law and those with weak investor protection experience more favorable announcement returns, which is suggestive of improved corporate governance as a potential source for valuation gains associated with appointment of U.S. foreign directors.

Our next set of tests explore whether having U.S. independent directors on board at the time of U.S. listing enhances the benefits of cross-listing. We examine this issue by including a sample of non-cross-listed foreign firms from the same 32 countries. Consistent with Doidge et al. (2009), we find that cross-listed firms, regardless of U.S. director presence, enjoy a significant value premium compared to non-cross-listed firms. However, we find that the value premium for cross-listed firms with U.S. directors on board are more than twice as large as that for cross-listed firms without U.S. directors on board. The pattern is similar when we examine the value premium of cross-listed firms before they cross-list on the U.S. market. While cross-listed firms tend to have higher value than non-cross-listed firms before they list on U.S. exchanges, the premium for foreign firms with U.S. independent directors on board increases by 20 percent after cross-listing whereas firms without U.S. independent directors on board experience only a 5 percent gain in value after cross-listing. These findings suggest that the presence of U.S. directors on board significantly increases the benefits enjoyed by cross-listed firms when they list on U.S. exchanges.

We further investigate whether U.S. directors' benefits are attributable to their advisory role or monitoring role. To that end, we divide our sample by the level of investor protection in the cross-listed firms' home country and examine which firms are more favorably affected by appointing U.S. directors. We find that the increase in value premium for cross-listed firms with U.S. directors is primarily driven by firms from weak investor protection countries. In addition, the increase in cross-listing premium for foreign firms with U.S. directors from weak investor protection countries is significantly higher than that for cross-listed firms without U.S. directors from these countries. In contrast, the presence of U.S. directors on the firms from strong investor protection countries, while contributing to higher firm value in general, does not increase the

value premium significantly after cross-listing. We contend that these results indicate that the impact of U.S. directors is attributable to better monitoring and governance, and that U.S. directors' monitoring role is enhanced by the strong investor protection in the U.S.

For additional evidence on U.S. directors' role, we examine the impact of U.S. directors' functional role on cross-listing benefits. We separate cross-listed firms with U.S. independent directors on board into three categories based on the committees they serve on. We find that the increase in value after cross-listing is most significant for firms whose U.S. directors sit on corporate governance related committees such as audit and corporate governance/nomination committees. In contrast, firms whose U.S. directors sit on other committees or not on any committee do not enjoy significant increase in value. These results lend credence to the monitoring role of U.S. directors.

Lastly, we try to identify the channels through which U.S. independent directors contribute to higher firm value by examining whether cross-listed firms with U.S. directors make better acquisitions, and whether U.S. directors' impact is limited to M&As with U.S. targets. We find that the acquiring firms' average announcement period abnormal returns are significantly higher when the acquirer has U.S. director on board. This positive impact of U.S. director is observed in M&As with both U.S. targets and with non-U.S. targets. This result is consistent with the notion that the primary benefit of U.S. directors in cross-listed firms stem from improved monitoring.

This paper makes several contributions to the literature. First, our study adds to the growing literature on the role and efficacy of foreign directors (Masulis et al. (2012), Naveen, Daniel, and McConnell (2013)). While most of the existing literature focuses on foreign directors' impact on U.S. companies or on firms within a single country, our paper is the first to

examine the impact of foreign directors on international firms from countries with varying levels of regulatory, financial and institutional development. This approach allows us to explore how foreign directors' role and contribution change with the regulatory and institutional environment in the firms' home country. Our evidence that U.S. directors on cross-listed firms from weak investor protection countries play mainly a monitoring role rather than an advisory role and contribute positively to firm value offers an important extension and alternative perspective to previous findings regarding foreign directors' impact on U.S. firms (Masulis et al. (2012)). This new evidence broadens our understanding of the impact of foreign directors and also complements previous studies on the impact of board independence, and especially that of independent director characteristics².

Second, our study contributes to the strand of literature that examines the relationship between country-level and firm-level governance. We provide new insight to the ongoing debate on whether country level and firm level corporate governance mechanism are complements or substitutes (Bris and Cabolis (2008), Aggarwal et al. (2009), Durnev and Kim (2005), and Dahya, Dimitrov, and McConnell (2008)). Our finding that cross-listed firms' exposure to improved country level regulatory and corporate governance provisions enhances the significance of U.S. directors' monitoring role lends credence to the notion that firm and country level investor protection mechanisms are complements.

Finally, our paper adds to the literature on factors that affect cross-listing premium. Extant studies find that cross-listing premium is related to greater visibility of the firm (Baker, Nofsinger, and Weaver (2002)), level of investor protection in the home country (Doidge,

² See Hermalin and Weisbach (2003) and Adams, Hermalin, and Weisbach (2010) for surveys of this literature. Some examples include Weisbach (1988), Brickley, Coles, and Terry (1994), Core, Holthausen, Larcker (1999), Fich and Shivdasani (2006), Adams and Ferreira (2009), Hwang and Kim (2009), Coles, Daniel, and Naveen (2014), and Nguyen and Nielsen (2010).

Karolyi, and Stulz (2004)), size of U.S. investor base (King and Segal (2009)), and most significantly, bonding with U.S laws and regulations (Coffee (1999, 2002), Stulz (1999)). Our results suggest that firm level corporate governance mechanisms also have significant influence on the benefits of cross-listing.

The remainder of the paper is organized as follows. Section II describes sample construction and present summary statistics. Section III examines the value impact of U.S. directors. Section IV explores the sources of the value impact. Section V concludes.

II. Data and Summary Statistics

A. Sample Selection

To study U.S. directors' impact on cross-listed firms, we create a sample of foreign firms that listed on a major U.S. exchange over 1996-2007. The list of cross-listed firms is collected from Bank of New York and Citibank and verified with NYSE and Nasdaq listings. Since we are interested in the role of U.S. directors, we include only Level 2 and Level 3 ADRs (American depository Receipts). Firms that list via Level 1 ADRs (OTC stocks) or Rule 144a are subject to little or no SEC disclosure requirements, and do not provide adequate and consistent information on their board and ownership characteristics. Next, given that our focus is to examine the differential impact of U.S. directors in the environment of disclosure requirement and external governance of the U.S market, we exclude cross-listed firms from countries with similar corporate and institutional framework as the U.S. Specifically, we exclude cross-listed firms from United Kingdom, Canada, and Australia. Finally, we require the firms to have complete documentation with SEC to enable us to identify board characteristics. After these screening criteria, we are able to collect information on U.S. director and other board and ownership

attributes for 298 cross-listed firms from 32 countries. Our sample size is comparable to other cross-listing studies covering similar period such as Fernandes, Lel, and Miller (2010).

B. Identification of U.S. Independent Directors in Cross-listed Firms

Director and board structure information for cross-listed foreign firms is not available in commonly used databases such as the IRRC (now RiskMetrics) Directors Database. To collect board and ownership information, we examine Form 20-F filed with the SEC and hand-collect the information from Section 6 (titled Directors, Senior Management and Employees) and Section 7 (titled Major Shareholders and Related Party Transactions) of this form. Section 6 allows us to identify independent, inside, and grey directors for each cross-listed firm. Consistent with previous literature, we define independent director as outside directors that are not former employees, family members of current employees, dominant shareholder (owning 10 percent or more shares), people related to dominant shareholder (family member, employee, representatives), and individuals with disclosed conflicts of interest such as outside business ties with the company, and interlocking director relationship with the CEO. Inside directors are defined as employees of the company and grey directors are anyone that is not an inside or independent director.

After identifying independent directors, we determine the home country of the director's current employer (or most recent employer if retired/unemployed); we use the company's headquarter location to determine its home country. We define an independent director as a U.S. director if the home country of his primary employer is U.S. For a stricter definition of U.S. director, we record the country of the local office that the director works in for his current

employer (or most recent employer if retired/unemployed). We define a director as a local U.S. director if the employer is a U.S. company and the director works in the U.S. office³.

In addition to director information, we also collect information on other board characteristics such as board size, CEO duality, whether the firm has a nomination committee, and whether the director serves on the nomination committee. For ownership characteristics, we use Worldscope in addition to 20-F to identify the dominant shareholder of the company, the voting rights for each level of ownership, and the cash flow rights of the dominant shareholder.

C. Summary Statistics

Of the 298 cross-listed foreign firms in our sample, 165 firms have foreign independent directors (FID) whose primary employer is a U.S. company (FID firms). We refer to the 133 firms that have no U.S. independent director as No-FID firms. Of the 165 FID firms, 127 firms have directors whose employer is a U.S. company and the director also works in the U.S office (Local FID firms). Table I provides the distribution of the number of firms by FID status from each country of domicile. Besides China, there is no clustering of firms. In general, firms from Asian countries are more active in cross listing in the U.S., followed by European countries. In terms of U.S. directors, we find that European countries have the highest percentage of firms with U.S. directors, while the distributions of FID firms vary among Asian and South America countries.

Table II reports the summary statistics of key financial and governance variables for firms with U.S. independent directors (FID firms) and firms without U.S. directors (No-FID firms) based on firm year observations. We also report the statistics for firm years with directors

³ In our definition, FIDs do not have to be U.S. nationals and they can be foreigners working for a U.S. employer. A more strict definition where we check where the director got the bachelor degree was also used and does not change our result.

whose employer is a U.S. company and the directors work in U.S (Local FID firms). We find that firms with U.S. directors, on average, have 61 percent independent directors on their boards; the corresponding number for firms without U.S. directors is significantly lower - 45 percent. In our sample, 54 percent of FID firms have nomination committee, whereas only 33 percent of No-FID firms have nomination committee. Surprisingly, a larger percentage of FID firms has CEOs who are also chairmen of the board, compared to No-FID firms. Collectively, these results suggest that firms with better corporate governance mechanisms are more likely to appoint U.S. independent directors. Finally, we find that firms with U.S. directors tend to be larger, have higher percentage of foreign sales, and higher Tobin's Q. We find similar patterns when we compare Local FID firms to No-FID firms.

III. Value Impact of U.S. Directors

A. Value of Cross-listed Firms with U.S. Directors

In this section, we examine the value of cross-listed firms that have independent U.S. directors on their boards. Cross-listed firms could benefit from both advisement and monitoring by U.S. directors. However, as argued and reported by Masulis et al. (2012) in their study on foreign directors in U.S. firms, geographical separation and especially cultural differences may reduce U.S. directors' effectiveness such that the costs outweigh the benefits of foreign directors,. Absent any definitive prediction that can be made from theoretical considerations, however, the issue of U.S. directors' impact on cross-listed firms' value must await further analyses. To that end, we use the sample of cross-listed firm years for which we are able to collect director information. Our final sample includes 1354 firm years for 298 companies, including 168 companies with FIDs and 127 firms with local FIDs.

Table III presents the results from pooled OLS regressions using Tobin's Q as a measure of firm value. Tobin's Q is defined as total assets minus book value of equity plus market value of equity. The main variables of interest are foreign independent directors (FID) and Local FID. FID is an indicator variable that has the value 1 if the cross-listed firm has at least one independent director whose employer is a U.S. company. Local FID is an indicator variable which equals 1 for an independent director whose employer is a U.S. firm, and she works in the local office in U.S. We include firm-level corporate governance variables, and financial variables as controls. Corporate governance variables include percentage of independent directors, board size, voting rights of dominant shareholders, difference in cash flow rights and voting rights of the dominant shareholder, indicator variable for CEO Chairman duality, indicator variable to identify firms with nomination committees, and indicator variable to indicate firms in which the CEO serves on the nomination committee. We define a shareholder as a dominant shareholder if she owns more than 10 percent of the total outstanding shares of the firm. If there are more than one dominant shareholders, we choose the one with the most voting rights. We also control for the following financial variables: firm size, growth rate of sales, leverage, ROA, R&D, and Tobin's Q of the global industry of the cross-listed firm. Size is measured as the natural logarithm of total assets, sales growth is the geometric average of growth rate in sales over the previous two years, leverage is short-term debt plus long-term debt scaled by assets, and global industry Q is the median Tobin's Q of the global industry.

Model 1 of Table III shows the impact of FIDs on firm value. We find that the presence of FID has a positive and highly significant impact on Tobin's Q. On average, the value of cross-listed firms with FID is over 36 percent higher compared to cross-listed firms without U.S. independent directors. In Model 2 which includes firm level corporate governance variables, we

find similar results. The value of cross-listed firms is significantly higher when we limit U.S. directors to Local FID, as in Models 3 and 4. To elaborate, cross-listed firms with Local FID have over 40 percent higher Tobin's Q compared to firms without Local FID.

The signs on control variables are generally consistent with extant evidence. Among firm level board characteristics, the indicator variable for CEO serving on nomination committee is negative and significant. The signs of other board and shareholder characteristics are consistent with our expectation, albeit insignificant. Higher percentage of independent directors, and presence of a nomination committee are associated with higher firm value while larger board size, greater difference between cash flow rights and voting rights, and greater control of the firm by the dominant shareholder are associated with lower firm value. Contrary to previous evidence, CEO Chairman duality is positively associated with firm value. For firm level financial variables, we find that higher sales growth, ROA, R&D spending, and industry Tobin's Q are linked with higher firm value, while larger firms and firms with higher leverage tend to have lower firm value. These results are consistent with previous findings.

Overall, these results suggest that the presence of U.S. independent directors on cross-listed firms' boards is associated with significantly higher firm value. Our finding of favorable impact of FID on firm value is not consistent with what Masulis et al. (2012) find with foreign directors on U.S. firms' boards. Rather, these results can be interpreted to be similar in spirit with Giannetti et al. (2015). In subsequent sections, we explore the source of the benefits of U.S. FIDs.

B. Robustness Tests

A potential source of bias in our tests is that the decision to recruit U.S. directors may be influenced by firm attributes. For example, firms with superior internal governance may be more

disposed to appoint U.S. directors. To address the endogeneity associated with the presence of FIDs, we conducted several econometrics tests. We first reexamine the regression estimates with firm fixed-effects. Firm fixed-effects regression allows us to control for firm level time-invariant factors, mitigating concerns for omitted variables. However, with our sample the firm-fixed effects approach may suffer from lack of power due to the fact that the number of U.S. independent directors changed for only a small number of firms during the sample period, similar to the phenomenon of slow-changing variables in firm-fixed effects models in extant literature (i.e. ownership structure in Zhou (2001)). With this caveat in mind, we conduct the test and report the results in Model 1 in Table IV. In corroboration of our previous results, we find that a change in FID status is positively associated with Tobin's Q, and the effect is significant at conventional levels.

For our second test for robustness, we employ the propensity score matching technique in conjunction with difference-in-difference analysis for the cross-listed firms for which the FID status during the sample period. We found sixty-one such firms in our sample. For each of these firms, we find a matching firm each year using their propensity score following the technique developed by Heckman, Ichimura, and Todd (1997, 1998). Specifically, for each firm that changed FID status, we find a matching firm both before and after the change with the closest propensity score matched on firm and country characteristics from the control sample of firms that do not recruit any U.S. independent director during the sample period. The propensity score is determined by estimating a logit model where the dependent variable is an indicator variable that equals 1 for firms that changed their FID status. The variables in the logit model are the same as those in Table III; in addition, we control for the type of dominant shareholder, as well as relevant industry factors identified from extant literature. To avoid bad matches and minimize

the loss of observations, we do not remove a matching observation from the sample, and we set the tolerance level on the maximum propensity score distance (caliper) to 0.01. We find matching firms for fifty-five of the sixty-one firms that changed their FID status.

Once we have the matching samples, we compare the difference in firm value between sample firms that changed their FID status and the matching firms with No-FID, in both pre-change and post-change periods. We conduct F-tests to check the significance of the difference in value changes between two periods. The result is reported in Model 2 in Table IV. In this model, FID equals 1 for firms with U.S. directors. The coefficient on this variable represents the difference in value between firms with FID before or after they changed their FID status and the corresponding matching firms. No-FID is an indicator variable that equals 1 for firms do not have U.S. directors. We find that firms that attained FID status enjoy a significant premium of 18.5 percent compared to matching firms. However, we find no evidence of significant value premium before they appoint U.S. directors. We perform F-tests to determine the equality of the two coefficients, and the hypothesis that the difference in value in the two periods is equal is rejected at conventional levels of significance.

In our final robustness test, we use the instrumental variable (IV) technique and estimate Tobin's Q with a two-stage least squares regression. We construct two instrumental variables. The first is an indicator variable that equals 1 if the cross-listed firm's headquarter city has a major international airport (defined as having flights to at least 4 major international cities), and the firm has no foreign sales. The second is the firm's foreign sales scaled by total assets. The intuition is that firms that either are located in cities that are relatively easy to travel to, or have international operations are more likely to attract U.S. directors. The estimation of the first stage probit model, where the dependent variable is the FID indicator, is reported in Model 3 in Table

IV. We find that both foreign sales and access to international airport is positively and significantly related to the presence of FID. Thus the instrumental variables satisfy the validity requirement. The results for the second stage regression model with the FID indicator variable substituted by the instrumental variable from the first stage estimation are reported in Model 4. We find that the instrumental variable representing the FID status is significant, which suggests that our previous finding that having U.S. directors on board is associated with a higher value for firms cross-listed on U.S. exchanges is not driven by endogeneity of the decision to appoint U.S. directors.

C. U.S. Director and Cross-listing Premium

The previous analyses show that, on average, cross-listed firms with U.S. independent directors have significantly higher value than those without U.S. directors. In this section, our objective is to reconcile this finding with the extant evidence that cross-listing on U.S. exchanges enhances foreign firms' value. Foerster and Karolyi (1999) find significantly positive valuation effect around cross-listing announcements, and Doidge, Karolyi, and Stulz (2004) document a significant increase in firm value after cross-listing. These studies attribute the valuation gain to the bonding hypothesis advanced by Coffee (1999) and Stulz (1999) which asserts that firms cross-listed on major U.S. stock exchanges are subject to superior corporate governance than non-cross-listed firms from the same country because of the more stringent legal and disclosure requirements in the U.S.

The bonding hypothesis has no direct implication for U.S. directors' advising role. However, given the received evidence of significantly positive effect of bonding with U.S. regulation on cross-listed firms' value, the incremental value of monitoring by U.S. directors depends on whether country level (external) governance induces a substitutive or a

complimentary influence on firm level (internal) governance. Extant evidence on this issue is mixed. Bris and Cabolis (2008) argue that firm and country level investor protection mechanisms act as substitutes based on evidence on the impact of firm specific governance mechanisms and country level legal and regulatory provisions on the premium of cross-border acquisitions. In a similar vein, Dahya, Dimitrov, and McConnel (2008) find that a higher percentage of independent directors does not add to firm value in strong investor protection countries. Conversely, Aggarwal et al. (2009) find that firms benefit more from internal governance mechanisms in countries with strong and well-developed institutions, which suggests that stringent firm-level and country-level corporate governance mechanisms are complements. In view of the inconclusive evidence, the impact of U.S. directors on the benefits of cross-listing beyond their advisory role is an empirical issue.

To examine the differential impact of U.S. directors on cross-listing benefits, we next investigate if the value premium of cross-listed firms is higher for cross-listed firms with U.S. FIDs than for No-FID cross-listed firms. Table V reports the results of a pooled, cross-sectional regression model where the dependent variable is Tobin's Q and the main independent variables of interest are indicator variables for cross-listed firms with FID (FID) and cross-listed firms without FID (No-FID). The sample includes 67456 firm year observations from 10547 firms with assets over \$100 million (1354 firm years from 298 firms are cross-listed firms), the non-cross-listed firms are from the same countries as cross-listed firms. Model 1 in Table V represents the baseline regression where we include only the two cross-listing type indicator variables (cross-listed firms with FID and cross-listed firms without FID) in addition to the same financial variables as in the previous section. In conformity of our previous findings on cross-listing premium, we find that the coefficients on cross-listing indicator variables are positive and

significant both groups of cross-listed firms. Moreover, consistent with the notion that FID presence enhances the benefits of cross-listing, we find that the coefficient estimate for FID cross-listed firms is higher than that for No-FID cross-listed firms. The value premium for FID cross-listed firms is 31 percent and that for No-FID cross-listed firms is 15 percent, and the difference is significant.

In Model 2 we include two additional variables, FID Pre-listing and No-FID Pre-listing, to capture any potential value premium enjoyed by cross-listed firms in the pre-listing period. FID Pre-listing equals 1 for firm years prior to FID firms' cross-listing, and No-FID Pre-listing equals 1 for firm years prior to No-FID firms' cross-listing. We find that the coefficients on FID Pre-listing and No-FID Pre-listing are similar in magnitude, with no significant difference. However, we find that the difference in premium between pre- and post-cross-listing periods for FID cross-listed firms is 4 times as large as that for cross-listed firms without FID. This result suggests that FID cross-listed firms accrue significantly more value from cross-listing than No-FID cross-listed firms and the stringent regulatory and disclosure requirements in the U.S. reinforce the superior monitoring and governance imposed by U.S. independent directors. Model 3 includes additional firm level corporate governance variables to control for factors that may affect cross-listing premium besides recruitment of FID. We include interaction variables between cross-listing indicator (equals 1 for cross-listed firms) and firm level ownership and board characteristics including percentage of independent directors, board size, voting rights of the dominant shareholder, and difference in cash flow rights and voting rights of the dominant shareholder. The addition of these corporate governance variables has no discernible impact on the above findings on the effect of U.S. directors - the coefficient on FID cross-listed firms is still positive and significant, and the difference between the coefficients on FID and No-FID

cross-listed firms remains large and significant. Among the newly added control variables, we find that cross-listed firms where the dominant shareholder has high voting rights tend to experience lower increase in value premium after cross-listing.

D. Abnormal Returns around Appointments of U.S. Independent Directors

Masulis et al. (2012) report that announcements of foreign directors' appointment by U.S. companies elicit negative stock price reaction. To investigate the valuation impact of appointment of U.S. directors by cross-listed firms, we search Factiva and Lexis-Nexis to collect a sample of announcements of a U.S. director joining a cross-listed firm's board. We focus on actual announcement dates rather than initial disclosures through proxy statement filings since proxy statements tend to contain other material information that may confound our results (Masulis et al. (2012)). To ensure that the stock market reaction to U.S. director announcement is not confounded by concurrent corporate announcements, we eliminate the announcements that coincide with other corporate events such as earnings reports, management turnover, and acquisitions. Our final sample includes 67 announcements of U.S. director announcements, of which 53 announcements have sufficient stock price data for calculation of abnormal returns. We designate the announcement day as day '0'. We collect the daily returns data from DataStream and use the equally-weighted market portfolio of the cross-listed firm's home country as the market index. We use the standard event study technique with an estimation period of 201 days preceding the announcement day (days -210,-11).

We use both 3-day (-1, +1) and 5-day (-2, +2) cumulative abnormal returns (CAR) surrounding the announcement. The results of the analysis are reported in Table VI, Panel A. We find that firms announcing U.S. director appointments experience positive abnormal returns over both the 3-day window and the 5-day window. Average 3-day CAR and 5-day CAR for

cross-listed firms that appoint U.S. directors is 2.2 percent and 2.6 percent, respectively, both significant at conventional levels. The median for both CAR measures are also comparable to the mean announcement returns. These findings are consistent with the notion that appointment of U.S. directors induce net valuation gains to cross-listed firms.

In Panel B, we break down the sample into two groups based on the legal origin and the level of investor protection in the cross-listed firm's home country. We use three proxies for the degree of investor protection. La Porta, Lopez-De-Silanes, Shleifer, and Vishny (LLSV, 1998) argue that countries with civil (common) law have the weakest (strongest) investor protection. Accordingly, we separate our sample based on the legal origin of the domestic country. As the second measure of the degree of minority shareholder protection, we use the anti-director rights index by LLSV (1998). Finally, we use the anti-self-dealing index from Djankov et al. (2008). This index measures a country's ability to protect minority shareholders' interests and prevent tunneling of corporate resources through legal means.⁴

We find that the mean announcement returns are positive and similar in magnitude for both different legal origins and the levels of investor protection groups. However, median announcement returns are positive only for firms from civil law countries, and countries with weak investor protection. The standard deviation of CAR is also smaller for firms from civil law and weak investor protection countries. Accordingly, the average 5-day CAR is significant only

⁴ The anti-director rights index (range 0 - 6) captures laws that explicitly mandate, or set as a default rule, provisions that are favorable to minority shareholders. These include voting rights, rights to call a special shareholder meeting, and the right to an oppressed minority mechanism to seek redress in the case of expropriation. The anti-self-dealing index (range 0 - 1) summarizes the strength of minority shareholders in limiting the transfer of corporate assets to managers (or controllers). The index focuses on ex ante and ex post mechanisms that can limit these self-dealing transactions, including approval of the transaction by minority shareholders, independent review, and the right to sue. Our choice of these indices is motivated by their wide use by a long strand of literature in Finance and Accounting including recent studies by Lel and Miller (2008), Fresard and Salva (2010), Miller and Reisel (2011), Iliev, Miller, and Roth (2014) and Iliev, Lins, Miller, and Roth (2015).

for firms from these countries, and results are similar for 3-day CARs. This evidence is suggestive that firms from civil law countries, and countries with weak investor protection benefit more from appointing U.S. directors. Overall, these results support the idea that cross-listed firms derive incremental benefits from appointment of U.S. independent directors, separate from the cross-listing benefits documented in previous literature. Next, we focus on the question of whether these benefits are due to the advisory role or the monitoring role of U.S. directors.

IV. Sources of Value Gain

A. U.S. directors and Investor Protection in the Home Country

To identify the source of the favorable impact of U.S. independent directors on cross-listed firms' value, we examine whether U.S. directors' impact varies by the level of investor protection in cross-listed firms' home country. If U.S. directors' contribution to cross-listing premium is due to greater monitoring benefits and the complimentary relationship between firm and country level investor protection, we expect the benefit to be stronger for firms from countries with weak investor protection. On the other hand, if the contribution is mainly from advising, then home country level of investor protection should have no bearing on the results.

We contend that managers in countries of civil-law origin, and with either low (i.e. below the median) anti-director rights (LLSV, 1998) or low anti-self-dealing index (Djankov et al., 2008) are more likely to expropriate cash for personal benefits. Firms from these countries benefit more from bonding with strict U.S. rules and regulations following cross-listing on U.S. exchange, and the presence of U.S. directors on the board augments these benefits. Table VII reports the estimation results of regressions to identify the determinants of Tobin's Q of cross-listed firms. The first two columns in the table split the sample in terms of anti-director rights

index. Consistent with the hypothesis that better monitoring by U.S. directors increases cross-listing benefits, we find that the increase in value premium due to FID presence is higher for cross-listed firms from weak investor protection countries. The value premium for these firms post-cross-listing is highly significant at 38 percent, while the premium prior to cross-listing is only 17 percent and barely significant. For cross-listed firms from weak investor protection countries and without FID presence, the post-cross-listing value premium is significant at 21 percent and pre-cross-listing premium is insignificant. For cross-listed firms from strong investor protection countries, we find that firms with FID have higher value compared to firms without FID. However cross-listing in and by itself does not add significant value to foreign firms relative to the pre-cross-listing period, regardless of whether the firm has U.S. FIDs or not.

The results are similar when we separate the sample based on anti-self-dealing index and legal origin. Cross-listed firms with FIDs presence from either high anti-self-dealing index or common-law countries do not experience significant increase in value compared to their pre-listing-period. In contrast, cross-listed firms with FID presence from low anti-self-dealing index or civil law countries experience an increase in value compared to non-cross-listed firms after they cross-list, and the increase in value premium is higher than that for cross-listed firms without U.S. directors.

Collectively, these results confirm that appointment of U.S. directors on board are more effective for cross-listed firms from weak investor protection countries where agency conflicts are likely to be higher. Our findings lend credence to the notion that U.S. directors add value to foreign firms by providing better monitoring and the benefit is more valuable for cross-listed firms from weak investor protection countries. For these firms, listing on U.S. exchanges brings significant improvements in investor protection, and regulatory and institutional structure. We

interpret this evidence as consistent with the idea that country and firm level investor protection mechanisms are complementary.

B. Functional Role of U.S. Director and Benefits of Cross-listing

We next examine U.S. directors' functional role on cross-listed firms' boards and the impact thereof on cross-listing benefits. Previous research indicates that the most important board decisions originate at the committee level and that committees such as audit, executive, compensation, and nomination greatly influence corporate activities (see Kesner (1988), Vance (1983), and Xie, Davison, and Dadalt (2003)). Faleye, Hoitash, and Hoitash (2011) further categorize the committees to focus on monitoring (audit, nominating, and compensation) and advising (finance/investment/strategy and executive). If the benefits associated with U.S. directors stem primarily from their monitoring role, we expect the highest gain in value for firms in which U.S. directors serve on corporate governance related committees, e.g. audit committee and corporate governance/nomination committee. Alternatively, if the benefits mainly derive from the advising role, serving on corporate governance related committees should be immaterial.

To test this hypothesis, we collect information on which committees FIDs serve. We assign FIDs to three categories: FIDs who serve on audit, corporate governance/nomination, or compensation committee, FIDs who serve on investment, strategy, and other committees, and FIDs who do not serve on any committee. In our sample, out of 534 FID firm years, FIDs serve on audit, corporate governance/nomination, or compensation committee for 270 firm years, on investment, strategy, and other committees for 83 firm years, and on no committees for 181 firm years. We contend that if the benefits of FID derive primarily from their monitoring role, we should observe higher cross-listing premium for the firms in which FIDs serve on audit or corporate governance committees.

Table VIII reports the estimation results on Tobin's Q regression while controlling for different board committees FIDs are serving on. Model 1 shows that cross-listed firms with FIDs on corporate governance related committees enjoy significantly higher value premium than firms where FIDs serve on other committees or no committees. The value premiums for the latter two categories are not significant, and comparable in magnitude to cross-listed firms without FID. Model 2 further reveals that the improvement in firm value after cross-listing for firm with FIDs is driven mainly by the firms whose FIDs serve on audit or nomination committees. We find no significant difference between the other two categories of cross-listed firms with FIDs and cross-listed firms without FIDs.

The results in this section shed new insight on how the presence of U.S. independent directors contributes to the increase in cross-listed firms' value. The finding that cross-listed firms with FIDs serving on corporate governance related committees enjoy the highest cross-listing premium corroborates the notion that the monitoring role, not the advising role, is the main source of incremental value associated with FIDs in cross-listed firms.

C. U.S. Directors and M&A Performance

Finally, we examine U.S. directors' impact on cross-listed firms' investment decisions such as mergers and acquisitions (M&A). M&A activity has been widely studied in corporate governance literature and from the perspective that these deals have the potential for significant conflicts of interest between shareholders and managers. Masulis, Wang, and Xie (2007) and Chen, Harford, and Li (2007) find that firm level corporate governance has significant impact on the efficiency of these investments. Additionally, previous studies also show that foreign directors provide special knowledge and insight to help firms make more informed investment decisions involving foreign operations and markets, particularly in cross-border acquisitions (e.g.

Masulis, Wang, and Xie (2012) and Adams, Hermalin, and Weisbach (2010)). As such, studying M&A decisions enables us to further explore and identify the specific benefits U.S. directors provide to cross-listed firms. We hypothesize that if U.S. directors offer mainly advisory help to foreign firms, we would expect U.S. directors to have significant impact on the performance of M&As specifically with U.S. targets where the directors' familiarity with business culture, network, and expertise will be of special value.⁵ On the contrary, if U.S. directors are more engaged in the monitoring role, we would expect U.S. directors to have an impact on the performance of all M&As regardless of the target's location.

Information on mergers and acquisitions by our sample of cross-listed firms from 1996 to 2007 are extracted from Security Data Corporation (SDC), and deals below \$1 million are discarded. Following Wang and Xie (2009), we include completed acquisitions of majority interest only (i.e. acquirer controls more than 50 percent of the target firm's shares after the merger). The deals categorized as spin-off, self-tender offer, recapitalization, and leveraged buyout are excluded, as well. We collect stock market and trading data around M&A announcements from Datastream, and financial data from Worldscope; observations with missing stock price data and financial information are excluded. We obtain complete data on 276 M&As conducted by 66 cross-listed firms over our study period. Sixty-five of the 276 deals are cross-border acquisitions involving U.S. targets.

We examine the stock market's perception of the quality of acquisitions by using the cumulative abnormal returns (CAR) over the 3-day (-1,+1) window surrounding the announcement of the acquisition. Evaluation of merger efficiency by abnormal announcement period returns is prevalent among researchers (e.g. Masulis et al. (2007)). We employ the

⁵ For example U.S. directors can provide unique perspectives on important issues in U.S. market such as target selection, deal structure and negotiation, and post-transaction integration.

standard event study technique with daily returns data from DataStream, and the equally-weighted market portfolio of the acquirer's home country as the index, and an estimation period of 201 days preceding the announcement (days -210,-11). The date of the first press release is designated day 0.

We report the results of the OLS regression of the acquirer's CAR in Table IX. The main variables of interest are firms with FIDs and the interaction term between FID presence and an indicator variable for acquisitions of U.S. targets. The control variables include both firm and deal characteristics. Following Masulis et al. (2007), we include the following firm characteristics: firm size, leverage, Tobin's Q, and the bidder's pre-announcement stock price run-up, measured as the bidder's buy-and-hold abnormal return over the 200 day window (days -210, -11) preceding day -10. For deal characteristics, we include the interaction variables between the three target-status dummies (public, private, and subsidiary) with the two method-of-payment dummies (stock and cash) to create six mutually exclusive deal categories: public cash deal, public stock deal, private cash deal, private stock deal, subsidiary cash deal, and subsidiary stock deal. Cash is defined as the method of payment if the M&A is funded with 100 percent cash, and deals for which any stock is used are defined as stock-financed. To avoid multi-collinearity, we exclude the indicator for subsidiary stock deals from the regression. The other deal characteristic we control for is relative deal size, defined as the ratio of the deal value to the bidder's market value. We also use two indicator variables to represent diversifying M&As and international M&As, respectively. Diversifying M&As are defined as deals in which the target and acquirer are in different Fama-French 48 industries, whereas international M&As are deals in which the target and acquirer are in different countries. Finally, we control for target country and cross-border deal characteristics. Following Bris and Cabolis (2008), we use differences between

investor protection levels (measured by anti-director rights from LLSV (1998)), the ratio of the stock market capitalization to GDP, and GNP per capita of originating countries of acquirer and target firms to capture potential synergies of cross-border mergers. The models also include year, country, and Fama-French industry fixed effects.

In Model 1, we report the estimation model with only the indicator for FID presence as the focus variable. Consistent with our earlier finding that U.S. directors enhance firm value, we find that cross-listed acquirers with U.S. directors have higher M&A announcement returns than firms without FIDs. The coefficient is both economically and statistically significant. Model 2 includes the interaction variable between FID presence and indicator variable for M&As with U.S. targets. We find that the coefficient on FID indicator variable remains positive and significant. However, the interaction variable is positive, albeit not significant. These results suggest that the positive impact of U.S. directors on cross-listed firms' M&A deals is not limited to M&As with U.S. targets only, but accrue to all M&As by these firms. We interpret this finding as further corroboration that improved monitoring and governance is the source of incremental value attributable to U.S. independent directors on cross-listed firms' boards.

Regarding control variables, we find that firms with a nomination committee have higher acquirer returns and firms with greater difference in voting rights and cash flow rights post lower CAR. Consistent with previous research, we find that large firms are more prone to make poor acquisition decisions. The negative impact of stock deals and the positive impact of cash acquisitions of subsidiary targets is in conformity with Masulis et al. (2007).

Overall these findings corroborate our findings from earlier tests. The presence of U.S. directors on cross-listed firms' boards improves the performance of all M&As, and the effect is

not limited to U.S. targets alone. This supports the argument that unlike foreign directors on U.S. firms' boards, the main benefit of U.S. directors is related primarily to their monitoring role.⁶

V. Conclusion

In this paper, we examine the role of U.S. independent directors on cross-listed firms' boards. We find that U.S. directors are associated with higher firm value, as well as a bigger increase in value when foreign firms cross-list in U.S. exchanges. The impact of U.S. directors on cross-listing benefits is stronger for foreign firms from weak investor protection countries. In addition, our analyses reveal that cross-listed acquirers with U.S. directors conduct better M&As, regardless of the target location. Collectively these results are in conformity with the notion that U.S. independent directors tend to serve the monitoring role rather than the advisor role on foreign firms' boards. Our analyses provides a new perspective on the growing evidence on the important issue of on the role of foreign directors on corporate boards.

⁶ In unreported test we also try to examine the relationship between the presence of U.S. directors and the likelihood of the firm becoming a target of class action lawsuits. While the initial results support that cross-listed firms with U.S. directors are less likely to be sued, the sample size of class action lawsuit cases is too small to make definite conclusions.

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Table I. Sample Distribution: This table shows the sample distribution of firms across countries. FID are cross-listed firms have at least one independent director whose primary employers are U.S. companies. Local FID are cross-listed companies where the independent directors whose primary employers are U.S. companies also work in the local offices in U.S (not a in a foreign office of the company).

Country	N of Cross-Listed	N of FID	N of Local FID	% with FID	Firm Years	Firm Years with FID
Asia						
China	67	37	26	55%	126	55
Hong Kong	10	6	6	60%	36	15
India	13	8	6	62%	68	31
Israel	27	14	13	52%	103	33
Japan	10	3	1	30%	65	9
Korea	9	3	1	33%	46	4
Philippines	3	3	1	100%	12	7
Singapore	2	2	2	100%	12	10
Taiwan	9	3	2	33%	62	12
Europe						
Austria	1	0	0	0%	6	0
Belgium	4	2	2	50%	11	8
Denmark	1	1	1	100%	6	1
Finland	3	2	2	67%	22	13
France	23	20	18	87%	143	106
Germany	17	9	8	53%	88	39
Greece	9	6	4	67%	37	9
Hungary	1	0	0	0%	5	0
Italy	3	2	2	67%	11	7
Luxembourg	1	0	0	0%	8	0
Netherlands	11	10	9	91%	87	61
Norway	2	2	2	100%	12	7
Portugal	2	0	0	0%	5	0
Russia	3	2	2	67%	11	5
Spain	4	2	1	50%	32	7
Sweden	4	2	1	50%	20	4
Switzerland	8	7	6	88%	56	45
South America						
Argentina	8	2	1	25%	37	5
Brazil	22	8	2	36%	112	8
Chile	7	3	2	43%	38	4
Mexico	9	5	5	56%	42	25
Peru	1	0	0	0%	6	0
Africa						
South Africa	4	1	1	25%	29	4
Total	298	165	127	55%	1354	534

Table II. Summary Statistics: This table shows the summary statistics for cross-listed firms with and without U.S. independent directors. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. Local FID equals to 1 if the independent directors whose primary employers are U.S. companies also work in the local offices in U.S (not a in a foreign office of the company). No-FID indicate cross-listed firms without U.S. independent directors in the firm year.

	No-FID(1)	FID(2)	Local FID	(1) – (2)
Corporate Governance Variables				
Board Size	10.17	9.92	9.89	0.251 (0.18)
Percentage of independent directors	45.2%	60.8%	62.4%	-15.6% (0.00)***
CEO/Chairman duality	0.339	0.422	0.402	-0.083 (0.00)***
Nomination Committee	0.333	0.542	0.538	-0.21 (0.00)***
CEO on Nomination Committee	0.034	0.030	0.029	0.004 (0.63)
Voting Right and Cash Flow Right Diff	2.31%	1.49%	0.85%	0.008 (0.12)
Voting Right of Dominant Shareholder	34.7%	42.7%	44.2%	-7.9% (0.23)
Financial Variable				
Tobin's Q	1.57	1.89	1.94	-0.32 (0.00)***
Firm Size	32164	47060	52706	-14895(0.03)**
Foreign Sales	17.7%	29.6%	32.1%	-11.9% (0.00)***

Table III. U.S. Director and Firm Value: This table provides the pooled OLS regression results on the impact of U.S. independent directors on firm value. The dependent variable is Tobin's Q, defined as total assets minus book value of equity plus market value of equity. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. Local FID equals to 1 if the independent directors whose primary employers are U.S. companies also work in the local offices in U.S (not a in a foreign office of the company). Board size is the number of directors sitting on board. %IND is the percentage of directors who are independent. Right Difference is the difference between dominant shareholder's voting rights and cash flow rights. Voting rights is the percentage of voting rights hold by dominant shareholder. CEO Chairman Duality equals 1 if CEO is also the Chairman of the board. Nomination Committee equals to 1 if the firm has a nomination committee. CEO Nomination Committee equals to 1 if the CEO is on the nomination committee. Size is the natural logarithm of total assets, Sales growth is the geometric average of sales growth rate in the past two year, leverage is short-term debt plus long-term debt scaled by assets, and Global industry q is the median global industry's Tobin's Q. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Model 1	Model 2	Model 3	Model 4
FID	0.363*** [3.14]	0.317*** [2.86]		
Local FID			0.453*** [3.45]	0.404*** [3.12]
Ln (Board Size)	0.074 [0.48]	0.074 [0.48]	0.052 [0.34]	0.062 [0.41]
%IND	0.152 [0.65]	0.131 [0.53]	0.138 [0.52]	0.095 [0.35]
Right Difference	-0.348 [-1.08]	-0.363 [-1.03]	-0.289 [-1.02]	-0.311 [-1.09]
Voting Rights	-0.005 [-0.84]	-0.006 [-1.13]	-0.004 [-0.81]	-0.006 [-1.10]
CEO Chairman Duality		0.183* [1.68]		0.181* [1.70]
Nomination Committee		0.177 [1.61]		0.163 [1.50]
CEO Nomination Committee		-0.319** [-2.40]		-0.299** [-2.25]
Salesgr	0.102*** [3.13]	0.099*** [2.90]	0.103*** [3.25]	0.100*** [3.16]
Size	-0.099*** [-3.77]	-0.101*** [-3.30]	-0.098*** [-3.79]	-0.107*** [-3.74]
ROA	0.028*** [6.01]	0.028*** [6.07]	0.027*** [6.19]	0.027*** [6.24]
R&D	0.002** [2.27]	0.002** [2.38]	0.002** [2.23]	0.002** [2.30]
Leverage	-0.630** [-3.25]	-0.613*** [-3.17]	-0.588*** [-3.07]	-0.577** [-3.01]
Globalq	0.579*** [3.55]	0.559*** [3.44]	0.582*** [3.61]	0.563*** [3.50]
Country and Year Dummies	Yes	Yes	Yes	Yes
Observations	1354	1354	1354	1354
Adjusted R ²	0.317	0.324	0.328	0.386

Table IV. U.S. Director and Firm Value, Robustness Tests: This table provides robustness tests on the impact of U.S. independent directors on firm value. The dependent variable is Tobin's Q, defined as total assets minus book value of equity plus market value of equity. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. No-FID is a indicator variable that equals to 1 for firms do not have U.S. directors either before or after they changed their FID status. Board size is the number of directors sitting on board. %IND is the percentage of directors who are independent. Right Difference is the difference between dominant shareholder's voting rights and cash flow rights. Voting rights is the percentage of voting rights hold by dominant shareholder. CEO Chairman Duality equals 1 if CEO is also the Chairman of the board. Nomination Committee equals to 1 if the firm has a nomination committee. CEO Nomination Committee equals to 1 if the CEO is on the nomination committee. Size is the natural logarithm of total assets, Sales growth is the geometric average of sales growth rate in the past two year, leverage is short-term debt plus long-term debt scaled by assets, and Global industry q is the median global industry's Tobin's Q. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Firm-Fixed Effects (1)	P-score Matching (2)	2SLS First Stage (3)	2SLS Second Stage (4)
FID	0.111* [1.68]	0.185* [1.68]		0.391* [1.91]
No-FID		0.007 [0.07]		
Foreign Sales			0.465* [1.71]	
Access to International Airport			0.372* [1.76]	
Ln (Board Size)	0.278* [1.73]	-0.365 [-1.41]	0.227 [0.74]	0.031 [0.16]
%IND	0.047 [0.27]	0.348 [0.99]	2.12*** [4.21]	0.101 [0.42]
Right Difference	0.279 [-1.07]	-0.218 [-0.55]	0.951 [1.23]	-0.596 [-1.16]
Voting Rights	-0.012*** [-3.78]	-0.827 [-1.49]	0.037 [0.09]	-0.005 [-0.69]
CEO Chairman Duality	-0.072 [-0.76]	0.286 [0.98]	0.316** [1.99]	0.039 [0.35]
Nomination Committee	0.112 [0.78]	0.159 [0.87]	0.249 [1.22]	0.001 [0.01]
CEO Nomination Committee	-0.348*** [-2.87]	0.009 [0.06]	0.075 [0.20]	-0.255 [-1.57]
Salesgr	0.052** [2.30]	0.158*** [4.16]	0.002 [0.30]	0.073* [1.76]
Size	-0.152*** [-2.37]	-0.080*** [-2.83]	-0.104 [-0.35]	-0.130*** [-3.04]
ROA	0.014*** [3.60]	0.028*** [3.82]	0.003 [0.11]	0.021*** [3.91]
R&D	0.001 [1.39]	0.011 [2.31]	0.007* [1.83]	0.001 [0.45]
Leverage	-0.202 [-0.85]	-0.032 [-0.94]	0.234 [0.40]	-0.399 [-1.13]
Globalq	0.168* [1.70]	0.418* [1.86]		0.532*** [2.50]
F-Test (FID vs No-FID)	NA	2.98* (0.087)		
Country and Year Dummies	No	Yes	Yes	Yes
Observations	1276	430	1354	1354
Adjusted R ²	0.1162	0.551	0.228	0.333

Table V. U.S. Director and Cross-listing Benefits: This table provides pooled OLS regression results on the impact of U.S. independent directors on cross-listing benefits. The dependent variable is Tobin's Q, defined as total assets minus book value of equity plus market value of equity. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. No-FID is an indicator variable that equals to 1 for cross-listed firms do not have U.S. directors. FID Pre-listing equals to 1 for firm years by FID cross-listed firms before they cross-list and No-FID Pre-listing equals to 1 for firm years by cross-listed firms without FID before they cross-list. Board size is the number of directors sitting on board. %IND is the percentage of directors who are independent. Right Difference is the difference between dominant shareholder's voting rights and cash flow rights. Voting rights is the percentage of voting rights hold by dominant shareholder. CEO Chairman Duality equals 1 if CEO is also the Chairman of the board. Nomination Committee equals to 1 if the firm has a nomination committee. CEO Nomination Committee equals to 1 if the CEO is on the nomination committee. Size is the natural logarithm of total assets, Sales growth is the geometric average of sales growth rate in the past two year, leverage is short-term debt plus long-term debt scaled by assets, and Global industry q is the median global industry's Tobin's Q. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Model 1	Model 2	Model 3
FID	0.313*** [3.00]	0.319*** [3.04]	0.437** [1.99]
No-FID	0.145** [2.00]	0.156** [2.04]	0.295 [1.36]
FID Pre-listing		0.120 [1.28]	0.120 [1.26]
No-FID Pre-listing		0.107** [2.39]	0.227* [1.93]
Cross-listed*Ln (Board Size)			-0.073 [-0.74]
Cross-listed* %IND			0.082 [0.42]
Cross-listed* Right Difference			-0.365 [-1.09]
Cross-listed* Voting Rights			-0.008 [-0.97]
Salesgr	-0.001 [-1.04]	-0.001 [-1.03]	-0.001 [-0.17]
Ln(Sales)	-0.010*** [-3.18]	-0.011*** [-3.90]	-0.011*** [-3.05]
ROA	0.021*** [14.59]	0.021*** [14.59]	0.022*** [14.22]
R&D	0.001*** [3.14]	0.001*** [3.17]	0.008*** [3.55]
Leverage	-0.219*** [-8.54]	-0.223*** [-7.97]	-0.218*** [-8.51]
Globalq	0.600*** [10.64]	0.596*** [10.86]	0.598*** [10.65]
Country and Year Dummies	Yes	Yes	Yes
Observations	67456	67456	67456
Adjusted R ²	0.250	0.249	0.250

Table VI. U.S. Directors and Announcement Returns: This table provides the results on announcement returns for U.S. director appoint by cross-listed foreign firms. Cumulative abnormal returns (CARs) are estimated using the market model using the home country index of the foreign firms for the 3-day window (-1, +1) and 5-day window (-2, +2). Panel A provides the summary statistics on 3-day CAR and 5-day CAR. Panel B reports 5-day CAR for different groups based on home country characteristics. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A. U.S. Director Announcement Return					
CAR	N	Mean	Median	Min	Max
(-1, +1)	53	0.022*	0.011	-0.092	0.239
(-2, +2)	53	0.026*	0.015	-0.207	0.361
Panel B. U.S. Director Announcement Return by Country Type					
	N	CAR (-2, +2) Mean		CAR (-2, +2) Median	
English Law	19	0.023		-0.004	
Civil Law	34	0.027*		0.030	
High Anti-Director	17	0.022		-0.008	
Low Anti-Director	36	0.027**		0.030	
High Anti-self-dealing	22	0.019		0.002	
Low Anti-self-dealing	31	0.030**		0.031	

Table VII. Legal Environments, U.S. Director and Cross-listing Benefits: This table provides pooled OLS regression results on the impact of U.S. independent directors on cross-listing benefits by home country's legal environments. The dependent variable is Tobin's Q, defined as total assets minus book value of equity plus market value of equity. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. No-FID is a indicator variable that equals to 1 for cross-listed firms do not have U.S. directors. FID Pre-listing equals to 1 for firm years by FID cross-listed firms before they cross-list and No-FID Pre-listing equals to 1 for firm years by cross-listed firms without FID before they cross-list. Size is the natural logarithm of total assets, Sales growth is the geometric average of sales growth rate in the past two year, leverage is short-term debt plus long-term debt scaled by assets, and Global industry q is the median global industry's Tobin's Q. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **,and * denote significance at the 1%, 5%, and 10% levels, respectively.

	High Anti- director	Low Anti- director	High self- dealing	Low self- dealing	Common Law	Civil Law
FID	0.251 [1.32]	0.377*** [3.23]	0.249 [1.13]	0.379*** [3.31]	0.304 [1.44]	0.307*** [2.75]
No-FID	0.109 [0.86]	0.205** [2.19]	0.191 [1.49]	0.191** [2.04]	-0.062 [-0.48]	0.206** [2.56]
FID Pre-listing	0.091 [0.45]	0.170* [1.73]	0.080 [0.32]	0.189* [1.86]	0.199 [0.72]	0.119 [1.23]
No-FID Pre-listing	0.149 [0.92]	0.154** [2.53]	0.182 [1.57]	0.142** [2.12]	0.071 [0.35]	0.164** [2.51]
Salesgr	-0.001 [0.83]	0.008** [2.26]	-0.001 [-0.75]	0.005 [1.49]	-0.001 [-1.20]	0.002* [1.64]
Ln(Sales)	-0.017*** [-3.03]	-0.039*** [-8.90]	-0.017*** [-4.03]	-0.041*** [-4.74]	-0.035** [-2.39]	-0.011*** [-3.30]
ROA	0.023*** [8.03]	0.021*** [12.46]	0.027*** [9.31]	0.018*** [11.43]	0.019*** [4.64]	0.023*** [15.46]
R&D	0.008 [1.31]	0.001*** [3.55]	0.006** [2.13]	0.001*** [3.67]	0.001 [0.57]	0.001*** [3.40]
Leverage	-0.087** [-2.44]	-0.382*** [-8.78]	-0.103*** [-3.16]	-0.340*** [-6.68]	-0.386*** [-4.95]	-0.192*** [-7.47]
Globalq	0.584*** [13.15]	0.571*** [6.03]	0.567*** [13.38]	0.576*** [5.73]	0.621*** [4.29]	0.582*** [9.23]
Country and Year Dummies	Yes	Yes	Yes	Yes	Yes	Yes
Observations	34046	33410	36884	30572	7663	59793
Adjusted R ²	0.235	0.249	0.264	0.198	0.216	0.236

Table VIII. U.S. Director Function and Cross-listing Benefits: This table provides pooled OLS regression results on the impact of U.S. independent directors on cross-listing benefits. The dependent variable is Tobin's Q, defined as total assets minus book value of equity plus market value of equity. FID is an indicator variable that equals to 1 if the cross-listed firms have at least one independent director whose primary employers are U.S. companies. No-FID is an indicator variable that equals to 1 for cross-listed firms do not have U.S. directors. FID Pre-listing equals to 1 for firm years by FID cross-listed firms before they cross-list and No-FID Pre-listing equals to 1 for firm years by cross-listed firms without FID before they cross-list. Board size is the number of directors sitting on board. %IND is the percentage of directors who are independent. Right Difference is the difference between dominant shareholder's voting rights and cash flow rights. Voting rights is the percentage of voting rights hold by dominant shareholder. CEO Chairman Duality equals 1 if CEO is also the Chairman of the board. Nomination Committee equals to 1 if the firm has a nomination committee. CEO Nomination Committee equals to 1 if the CEO is on the nomination committee. Size is the natural logarithm of total assets, Sales growth is the geometric average of sales growth rate in the past two year, leverage is short-term debt plus long-term debt scaled by assets, and Global industry q is the median global industry's Tobin's Q. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Model 1	Model 2
FID in Audit or Corporate Governance Committees	0.484*** [3.09]	0.488*** [3.11]
FID in other Committees	0.122 [0.91]	0.129 [0.95]
FID in no Committees	0.106 [1.46]	0.113 [1.57]
No-FID	0.146** [2.00]	0.152** [2.06]
FID Pre-listing		0.125 [1.35]
No-FID Pre-listing		0.196** [2.40]
Salesgr	-0.001 [-1.04]	-0.001 [-1.07]
Ln(Sales)	-0.010*** [-3.18]	-0.011*** [-3.85]
ROA	0.021*** [14.59]	0.022*** [14.52]
R&D	0.001*** [3.14]	0.001*** [3.15]
Leverage	-0.219*** [-8.54]	-0.218*** [-7.51]
Globalq	0.600*** [10.64]	0.598*** [10.65]
Country and Year Dummies	Yes	Yes
Observations	67456	67456
Adjusted R ²	0.249	0.250

Table IX. U.S. Director and M&A Performance: This table provides the pooled OLS regression results on the impact of U.S. independent directors on M&A performance. The dependent variable is models is the bidder's 3-day cumulative abnormal return (CAR3) around M&A announcement dates. FID is an indicator variable that equals to 1 if the acquirer has at least one independent director whose primary employers are U.S. companies. US Target equals to 1 if the M&A target is a U.S. company. Board size is the number of directors sitting on board. %IND is the percentage of directors who are independent. Right Difference is the difference between dominant shareholder's voting rights and cash flow rights. Voting rights is the percentage of voting rights hold by dominant shareholder. CEO Chairman Duality equals 1 if CEO is also the Chairman of the board. Nomination Committee equals to 1 if the firm has a nomination committee. CEO Nomination Committee equals to 1 if the CEO is on the nomination committee. Cash is a firm's cash scaled by firm assets. Size is the logarithm of assets, and Tobin's Q is the market value of assets over the book value of assets. Leverage is long-term debt over total assets. Relative Value is equal to deal value as a percentage of acquirer total assets. Run-up BHR is the buy and hold return from day -210 to -11. *Diversify* is a binary variable that equals 1 if the target and acquirer are in different Fama-French 48 industries. International is a binary variable that takes the value of 1 if the target and acquirer are in different countries. Public, private, and subsidiary target are indicator variables indicate different target type. Cash M&A and stock M&A indicates whether the deal involves all cash or stock component. We use differences between investor protection levels, the ratio of the stock market capitalization to GDP, and GNP per capita of acquirer and target firms to capture potential synergies of cross-border mergers. Standard errors are adjusted for heteroskedasticity and firm clustering. T stats are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Model 1	Model 2
FID	0.025** [2.24]	0.024** [2.25]
FID * US Target		0.002 [0.18]
Ln (Board Size)	-0.003 [-0.13]	-0.003 [-0.33]
%IND	0.014 [0.29]	0.014 [0.43]
Right Difference	-0.304** [-2.00]	-0.318** [-2.29]
Voting Rights	-0.023 [-0.68]	-0.023 [-0.68]
CEO Chairman Duality	-0.015 [-0.77]	-0.015 [-0.77]
Nomination Committee	0.091*** [4.77]	0.091*** [4.67]
CEO Nomination Committee	-0.014 [-1.12]	-0.019 [-1.12]
US Target	0.004 [0.35]	0.011 [0.81]
Cash _{t-1}	-0.102 [-1.22]	-0.105 [-1.42]
Tobin's Q _{t-1}	-0.011 [-1.61]	-0.011* [-1.68]
Leverage _{t-1}	0.001 [0.17]	0.001 [0.17]
Size _{t-1}	-0.003*** [-2.91]	-0.003*** [-3.91]
Relative Value	0.003 [0.51]	0.005 [0.50]
Run Up BHR	0.002* [1.68]	0.002* [1.67]
Diversify	0.001 [0.72]	0.001 [0.72]
International	0.002	0.002

	[1.26]	[1.26]
Public Target*Cash	0.017*	0.017*
	[1.64]	[1.68]
Public Target*Stock	-0.022	-0.021
	[-1.16]	[-1.20]
Private Target*Cash	0.001	0.001
	[0.14]	[0.14]
Private Target*Stock	0.002	0.002
	[0.67]	[0.67]
Sub Target*Cash	0.021*	0.018*
	[1.80]]	[1.73]]
Country Shareholder Protection: acquirer minus target	-0.005	-0.005
	[-1.42]	[-1.42]
Mktcap to GDP: acquirer minus target	-0.003	-0.003
	[-0.26]	[-0.45]
Log (GNP per capita): acquirer minus target	0.001	0.001
	[0.09]	[0.09]
Industry Dummies	Yes	Yes
Country Dummies	Yes	Yes
Year Dummies	Yes	Yes
Observations	276	276
Adjusted R ²	0.012	0.012